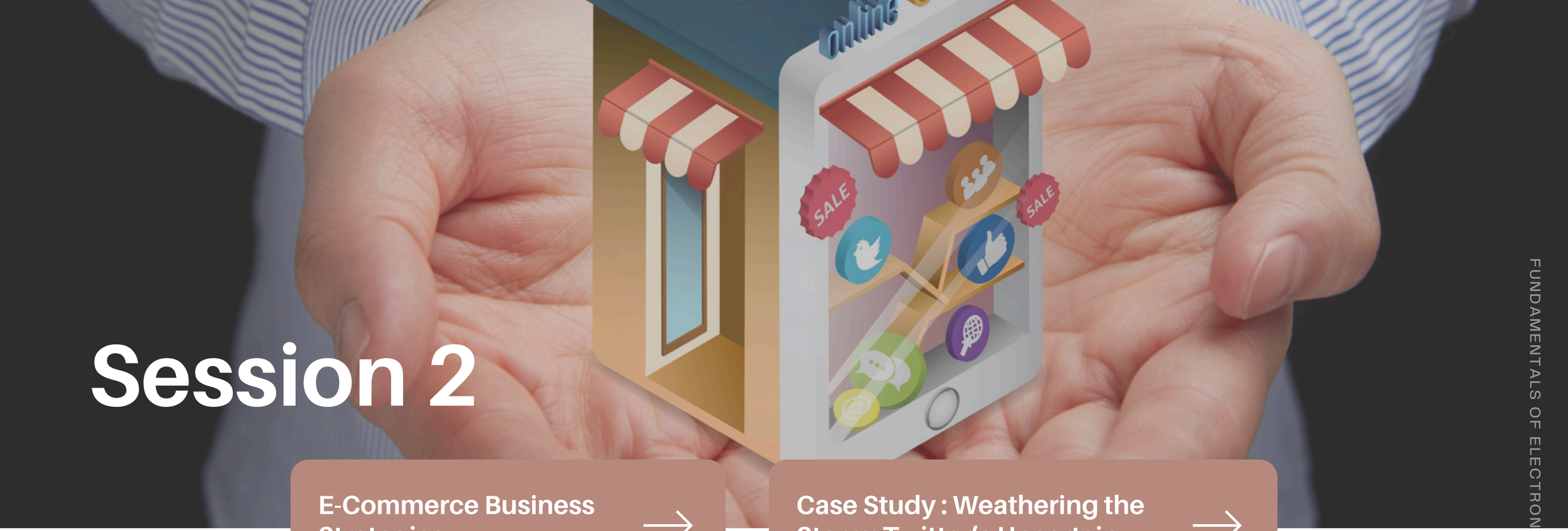
FACULTY OF INFORMATION AND COMMUNICATION TECHNOLOGY

ITDS 294
Fundamentals of Electronic Commerce Systems

Session 2 : E-Commerce Business Strategies



Session 2

E-Commerce Business Strategies →

ส่วนประกอบหลักของ E-Commerce Business Model รูปแบบของ B2C และ B2B Business Models

Case Study : Weathering the Storm: Twitter’s Uncertain Future →

เรียนรู้ Business Model ของ Twitter และวิวัฒนาการทางธุรกิจของ Twitter

Learning Outcome for Session 2

E-Commerce Business Models

นิสิตสามารถเลือกรูปแบบของ Business Model ได้เหมาะสมกับสถานการณ์ที่ต้องการ

Case Study : Twitter Tweaks Its Business Model

นิสิตอธิบาย แสดงความคิดเห็นเกี่ยวกับ Twitter Business Model และสามารถนำเอาความรู้ที่ได้จากการทำกรณีศึกษาไปต่อยอดใช้สำหรับวางแผนการสร้างธุรกิจพาณิชย์อิเล็กทรอนิกส์ในอนาคตได้

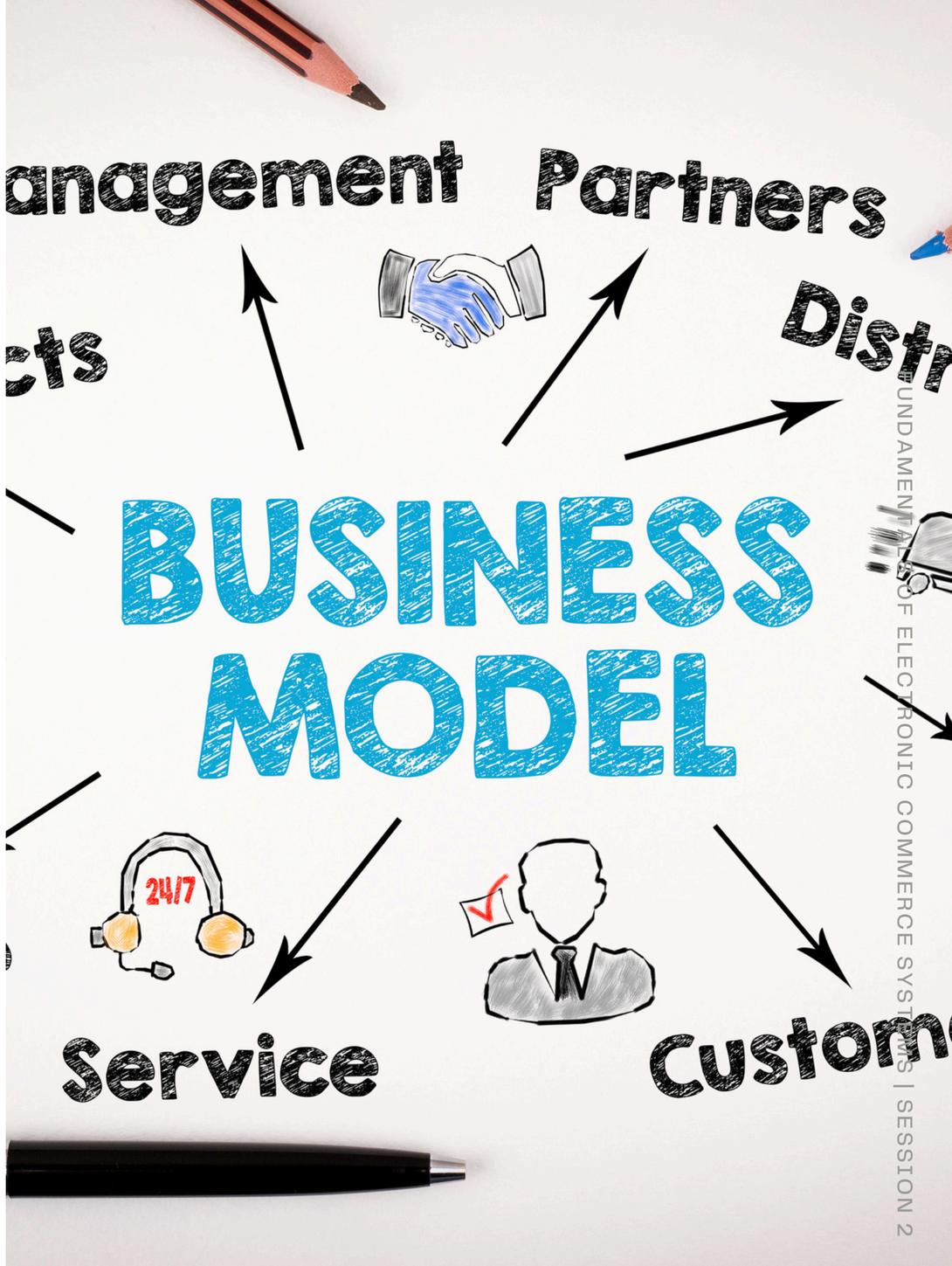
E-Commerce Business Models

ส่วนประกอบหลักของ E-Commerce Business Model รูปแบบของ B2C และ B2B Business Models

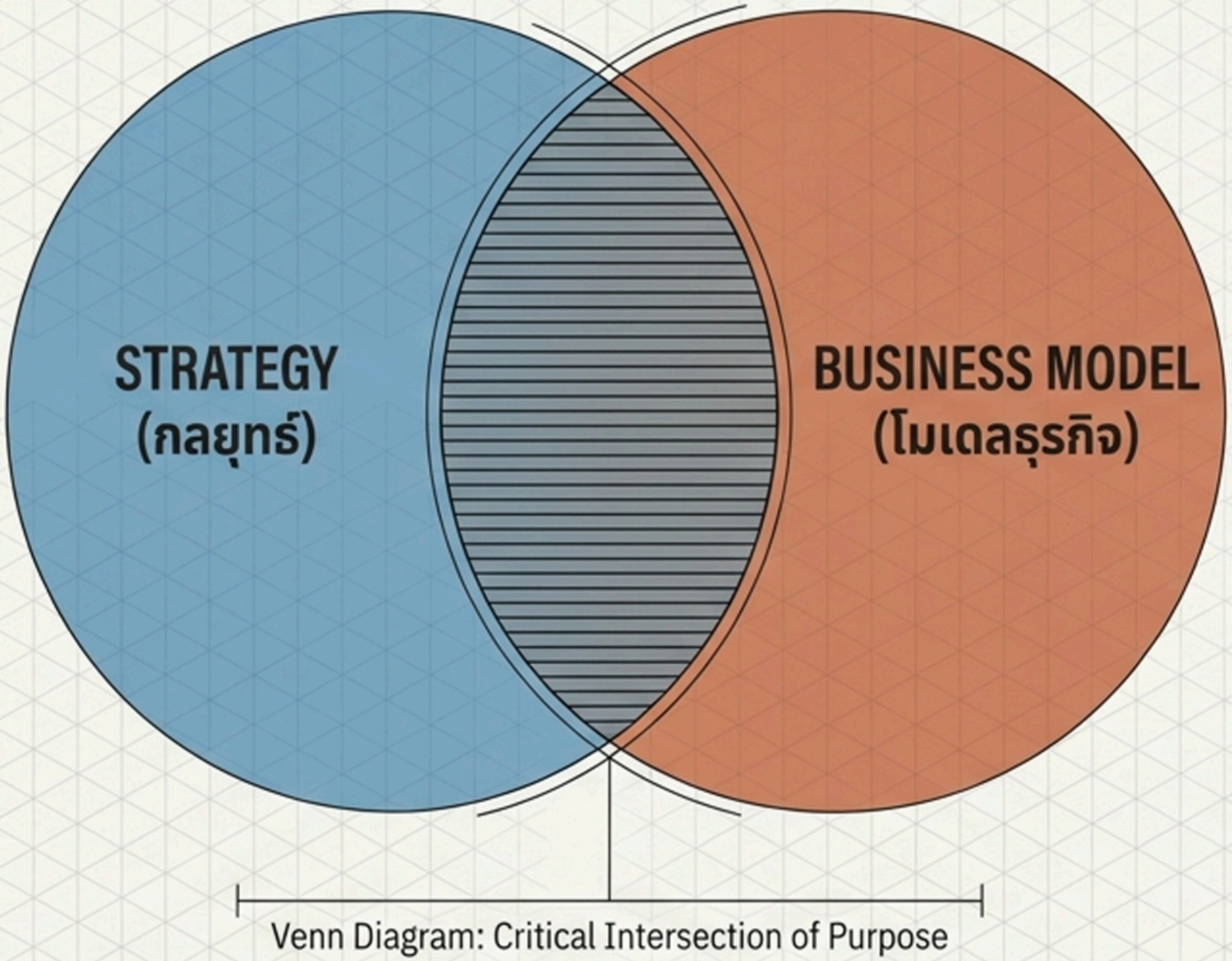
What is Business Model?

a set of planned activities (sometimes referred to as *business processes*) designed to result in a profit in a marketplace.

A business model is not always the same as a business strategy, although in some cases they are very close insofar as the business model explicitly takes into account the competitive environment. The business model is at the center of the business plan.



Strategy กับ Business Model เหมือนกันหรือไม่?



Venn Diagram: Critical Intersection of Purpose

ความเข้าใจผิดที่พบบ่อย: หลายองค์กรมักใช้สองคำนี้สลับกันเสมือนเป็นสิ่งเดียวกัน

ความเป็นจริง: ทั้งสองมีความเกี่ยวข้องกันอย่างใกล้ชิด แต่ทำหน้าที่คนละมิติในแผนธุรกิจ

The Concept: โมเดลธุรกิจคือ **‘เครื่องยนต์’** ที่สร้างรายได้ ส่วนกลยุทธ์คือ **‘ระบบนำทาง’** เพื่อเอาชนะคู่แข่ง

The Comparison Matrix: การทำงาน vs การแข่งขัน

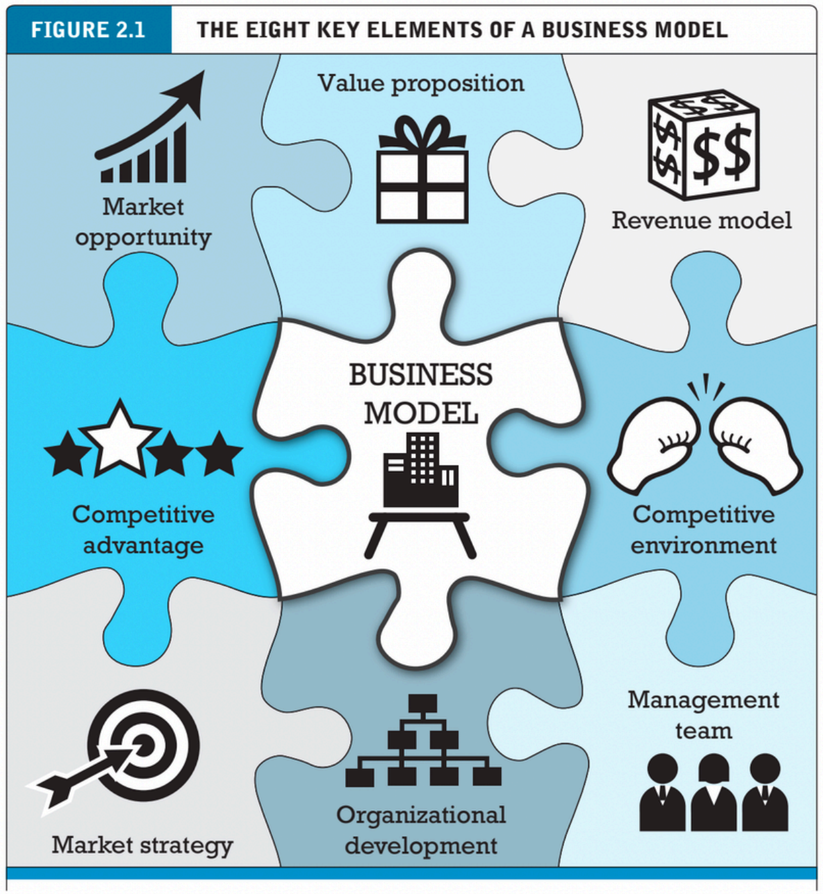
	Business Model	Business Strategy
นิยามหลัก **- Core Definition**	การออกแบบกลุ่มกิจกรรมและกระบวนการ (Processes) เพื่อให้เกิดรายได้และกำไร	แผนการแข่งขันเพื่อสร้างความได้เปรียบและเอาชนะคู่แข่งในตลาด
เป้าหมายสูงสุด **- Ultimate Goal**	ความคุ้มค่าทางเศรษฐศาสตร์ (How we operate and make money)	การครอบครองพื้นที่ในใจและส่วนแบ่งตลาด (How we win against others)
บริบท E-Commerce **- Digital Context**	ดึงเอาศักยภาพสูงสุดของ Internet, Web และ Mobile Platforms มาใช้	กำหนดทิศทางเพื่อรับมือกับพฤติกรรมผู้บริโภคยุคดิจิทัลที่เปลี่ยนแปลงตลอดเวลา

What is E-Commerce Business Model?

An **e-commerce business model** aims to use and leverage the unique qualities of the Internet, the Web, and the mobile platform.

Key Elements of Business Model

These elements are value proposition, revenue model, market opportunity, competitive environment, competitive advantage, market strategy, organizational development, and management team.



A business model has eight key elements. Each element must be addressed if you hope to be successful.

Key Elements of Business Model

Value Proposition

- A value proposition defines how a company's product or service fulfills the needs of customers.
- To develop and/or analyze a firm's value proposition, you need to understand why customers will choose to do business with the firm instead of another company and what the firm provides that other firms do not and cannot. From the con- sumer point of view, successful e-commerce value propositions include personalization and customization of product offerings, reduction of product search costs, reduction of price discovery costs, and facilitation of transactions by managing product delivery.

Key Elements of Business Model

Revenue Model

- A firm’s revenue model describes how the firm will earn revenue, generate profits, and produce a superior return on invested capital.
- We use the terms revenue model and financial model interchangeably.
- The function of business organizations is both to generate profits and to produce returns on invested capital that exceed alternative investments.
- Although there are many different e-commerce revenue models that have been developed, most companies rely on one, or some combination, of the following major revenue models: advertising, subscription, transaction fee, sales, and affiliate.

Revenue Model

Advertising Revenue Model

- A company that offers content, services, and/or products also provides a forum for advertisements and receives fees from advertisers.
- Companies that are able to attract the greatest viewership or that have a highly specialized, differentiated viewership and are able to retain user attention (“stickiness”) are able to charge higher advertising rates.

Revenue Model

Subscription Revenue Model

- A company that offers content or services charges a subscription fee for access to some or all of its offerings.
- Experience with the subscription revenue model indicates that to successfully overcome the disinclination of users to pay for content, the content offered must be perceived as a high- value-added, premium offering that is not readily available elsewhere nor easily replicated.
- Companies successfully offering content or services online on a subscription basis include eHarmony (dating services), Ancestry (genealogy research), Microsoft's Xbox Live (video games), Pandora, Spotify, and Apple Music (music), Scribd and Amazon's Kindle Unlimited program (e-books), and Netflix and Hulu (television and movies).

Revenue Model

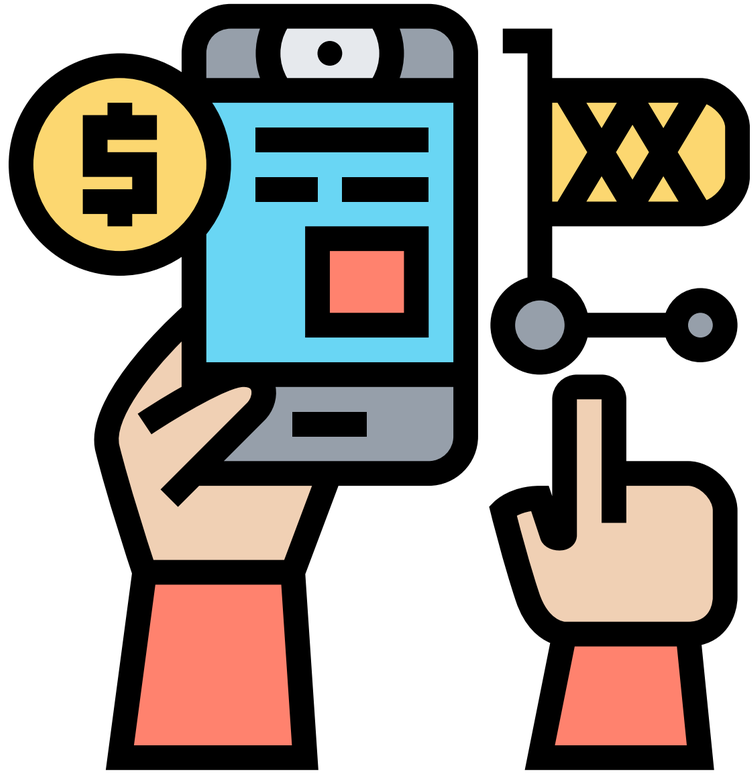
Freemium Strategy Revenue Model

- The companies give away a certain level of product or services for free, but then charge a subscription fee for premium levels of the product or service.

Revenue Model

Transaction Revenue Model

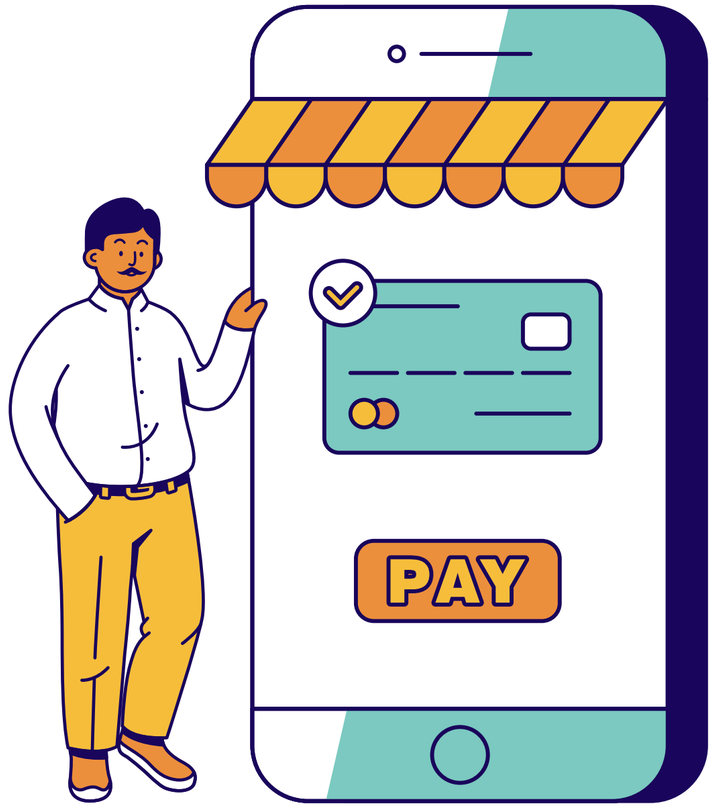
- A company receives a fee for enabling or executing a transaction.
- For example, eBay provides an auction marketplace and receives a small transaction fee from a seller if the seller is successful in selling the item. E*Trade, a financial services provider, receives transaction fees each time it executes a stock transaction on behalf of a customer.



Revenue Model

Sales Revenue Model

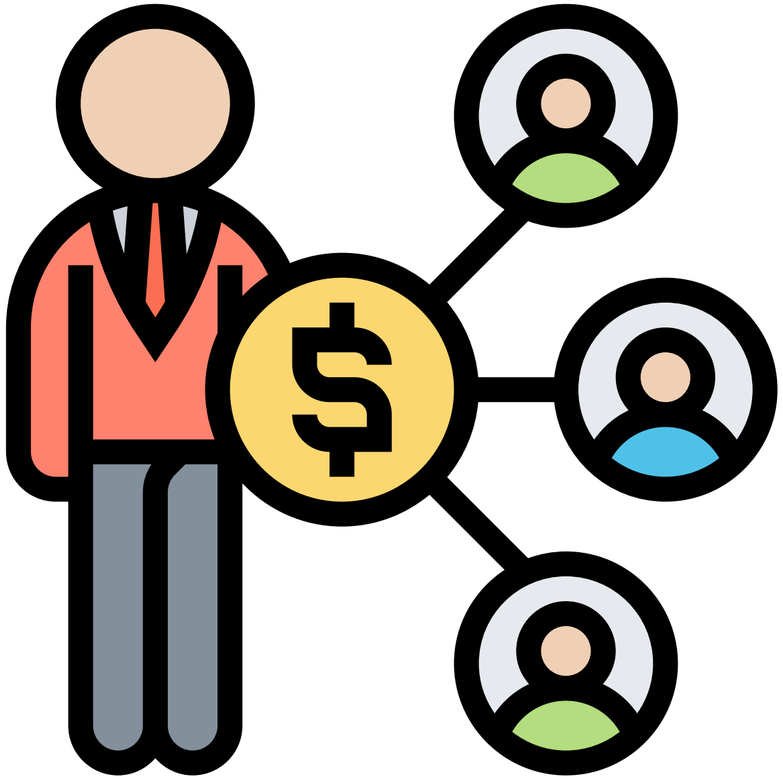
- Companies derive revenue by selling goods, content, or services to customers.
- Companies such as Amazon, L.L.Bean, and Gap all have sales revenue models.



Revenue Model

Affiliate Revenue Model

- Companies that steer business to an “affiliate” receive a referral fee or percentage of the revenue from any resulting sales.
- For example, MyPoints makes money by connecting companies with potential customers by offering special deals to its members. When they take advantage of an offer and make a purchase, members earn “points” they can redeem for freebies, and MyPoints receives a fee. Community feedback companies typically receive some of their revenue from steering potential customers to websites where they make a purchase.



Revenue Model

TABLE 2.2 FIVE PRIMARY REVENUE MODELS

REVENUE MODEL	EXAMPLES	REVENUE SOURCE
Advertising	Yahoo Facebook	Fees from advertisers in exchange for advertisements
Subscription	eHarmony Economist Netflix	Fees from subscribers in exchange for access to content or services
Transaction Fee	eBay IG	Fees (commissions) for enabling or executing a transaction
Sales	Amazon Glossybox (subscription)	Sales of goods, information, or services
Affiliate	MyPoints	Fees for business referrals

1. The Core Offering: คุณค่าที่นำเสนอและกลไกรายได้

1. Value Proposition

ทำไมลูกค้าต้องเลือกเราแทนที่จะเป็นคู่แข่ง?

- การสร้าง Personalization
- การลดต้นทุนการค้นหาสินค้า (Search costs)
- การอำนวยความสะดวกในการจัดส่ง

2. Revenue Model

วิธีสร้างผลตอบแทนจากการลงทุน (ROI) ให้เหนือกว่าตลาด

1. Advertising (สร้าง Stickiness ดึงดูดผู้ชม)
2. Subscription & Freemium (เช่น Netflix, Spotify)
3. Transaction Fee (กินส่วนแบ่งการซื้อขาย เช่น eBay)
4. Sales (ขายสินค้าโดยตรง เช่น Amazon)
5. Affiliate (รับค่าแนะนำ เช่น MyPoints)

Key Elements of Business Model

Market Opportunity

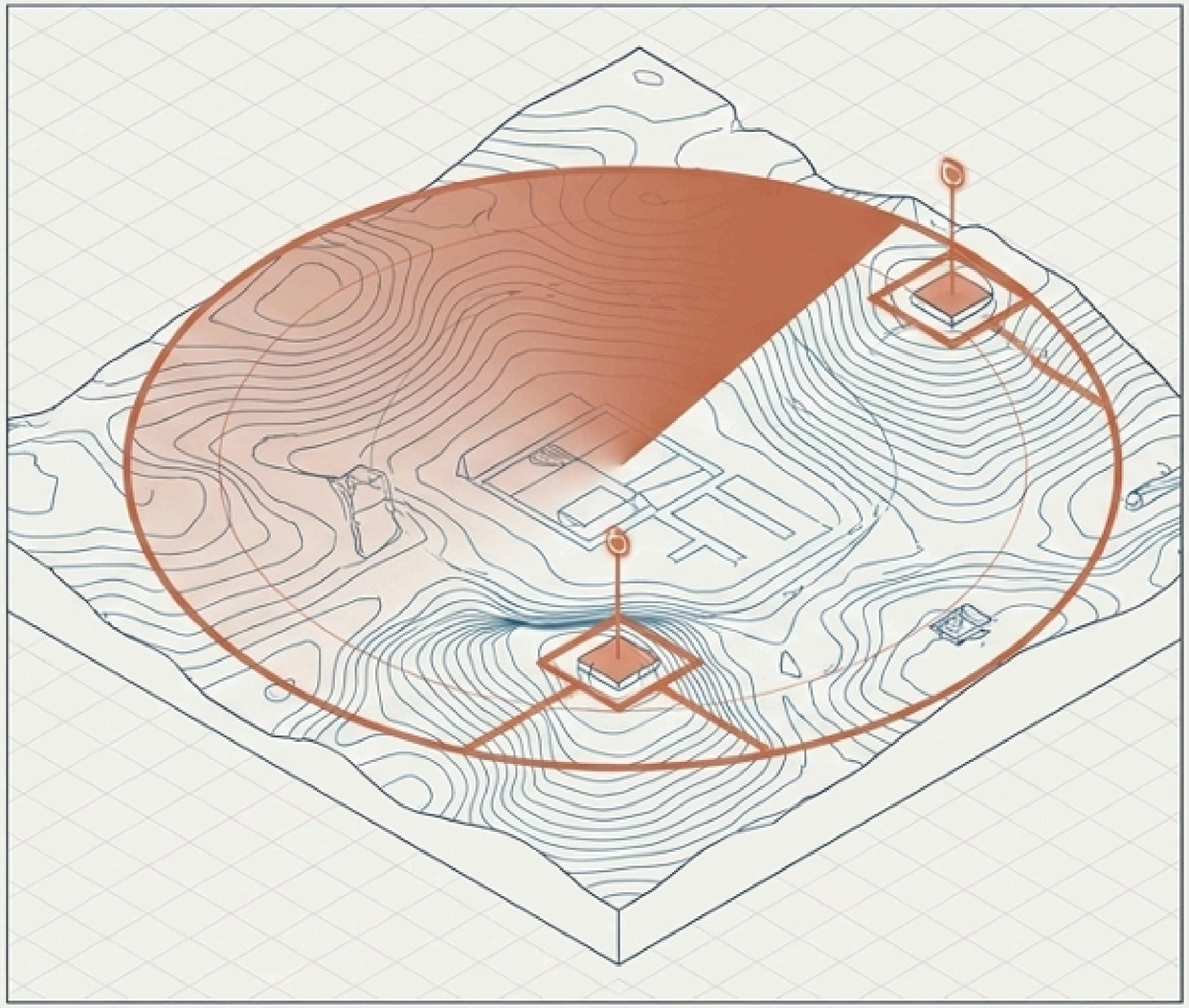
- The term **market opportunity** refers to the company's intended **marketspace** (i.e., an area of actual or potential commercial value) and the overall potential financial opportunities available to the firm in that marketspace.
- The market opportunity is usually divided into smaller market niches. The realistic market opportunity is defined by the revenue potential in each of the market niches where you hope to compete.

Key Elements of Business Model

Competitive Environment

- A firm's **competitive environment** refers to the other companies selling similar products and operating in the same marketspace.
- It also refers to the presence of substitute products and potential new entrants to the market, as well as the power of customers and suppliers over your business.
- Firms typically have both direct and indirect competitors. Direct competitors are companies that sell very similar products and services into the same market segment.

2. The Battlefield: ตลาดและสภาพแวดล้อมการแข่งขัน



3. Market Opportunity

ขนาดของพื้นที่ตลาด (Marketspace)
และโอกาสทางการเงิน

Insight: การประเมินรายได้ที่เป็นไปได้จริงมักมาจากการแบ่งตลาดใหญ่เป็นตลาดย่อย (Niches)

4. Competitive Environment

ใครคือผู้เล่นอื่นในพื้นที่นี้?

• คู่แข่งทางตรง (Direct)	• คู่แข่งทางอ้อม (Indirect)
• สินค้าทดแทน / ผู้เล่นหน้าใหม่	• อำนาจต่อรองของลูกค้าและซัพพลายเออร์

Key Elements of Business Model

Competitive Advantage

- Firms achieve a competitive advantage when they can produce a superior product and/ or bring the product to market at a lower price than most, or all, of their competitors.
- Firms achieve competitive advantages because they have somehow been able to obtain differential access to the factors of production that are denied to their competitors—at least in the short term.
- A **first- mover advantage** is a competitive market advantage for a firm that results from being the first into a marketplace with a serviceable product or service.
- An **unfair competitive advantage** occurs when one firm develops an advantage based on a factor that other firms cannot purchase.

Key Elements of Business Model

Market Strategy

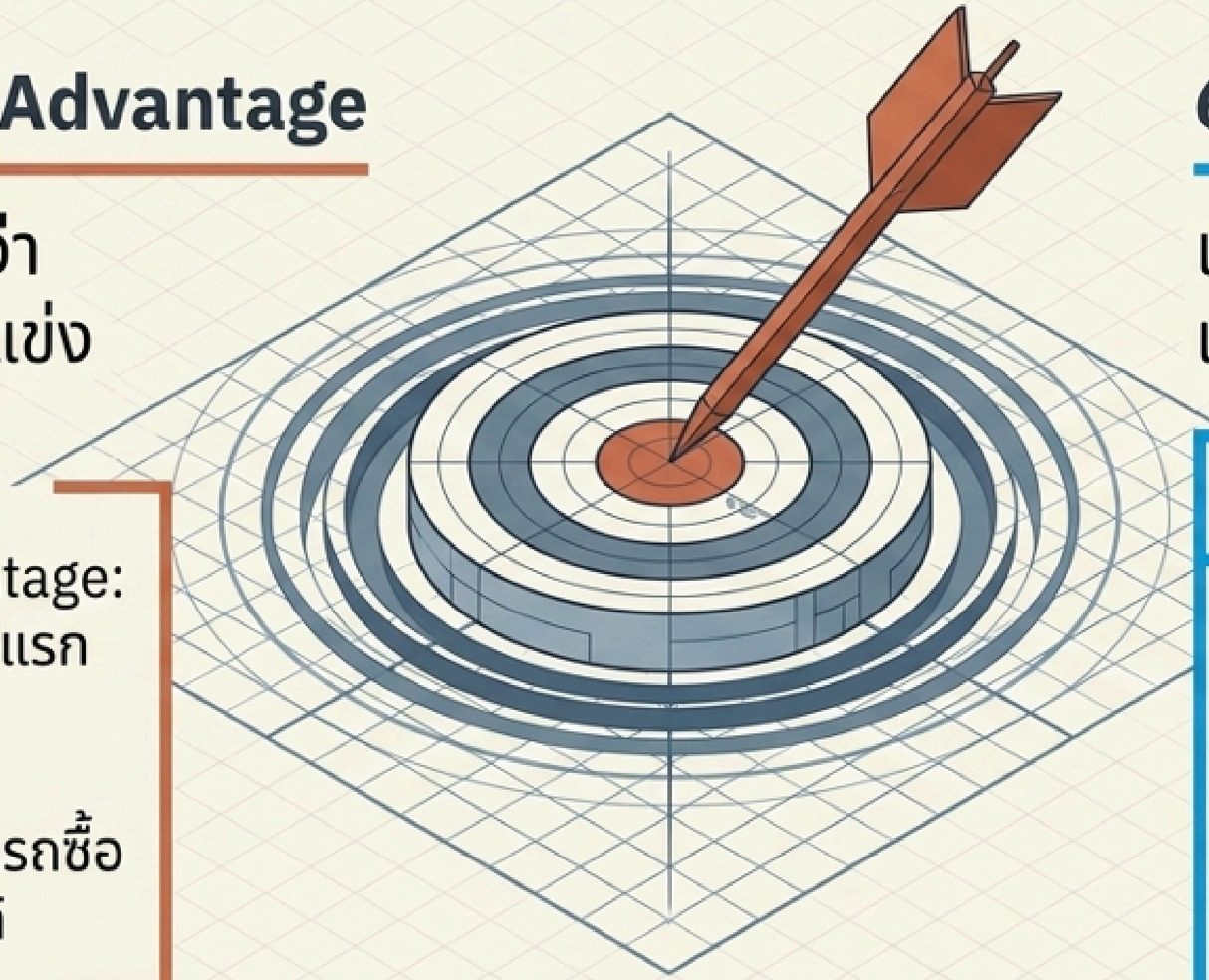
- **Market strategy** is the plan you put together that details exactly how you intend to enter a new market and attract new customers.
- For instance, Twitter, YouTube, and Pinterest have a social network marketing strat- egy that encourages users to post their content for free, build personal profile pages, contact their friends, and build a community. In these cases, the customer becomes part of the marketing staff!

3. The Edge: ความได้เปรียบและกลยุทธ์การตลาด

5. Competitive Advantage

การผลิตสินค้าที่ดีกว่า
หรือต้นทุนถูกกว่าคู่แข่ง

- First-mover advantage: การเข้าตลาดเป็นรายแรก
- Unfair advantage: ปัจจัยที่คู่แข่งไม่สามารถซื้อหรือลอกเลียนแบบได้



6. Market Strategy

แผนการดึงดูดลูกค้าเข้าสู่แพลตฟอร์ม

E-commerce Insight

แพลตฟอร์มอย่าง Twitter และ Pinterest ใช้กลยุทธ์ดึงผู้ใช้มาสร้างคอมมูนิตี้ จนลูกค้ากลายเป็น **‘พนักงานการตลาด’** โดยปริยาย

Key Elements of Business Model

Organizational Development

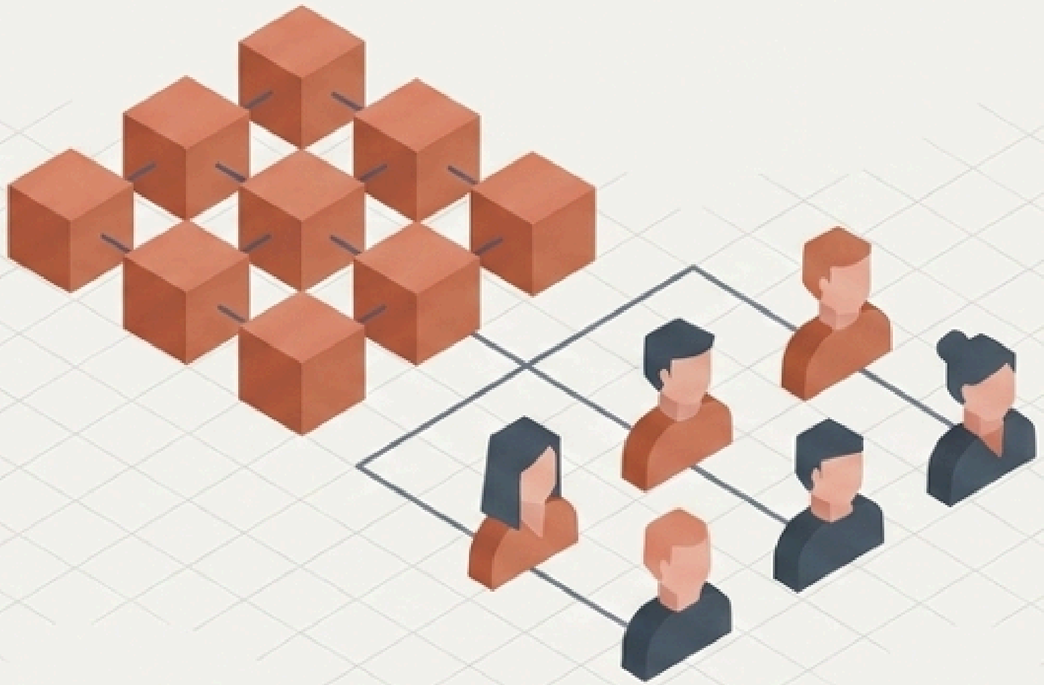
- Companies that hope to grow and thrive need to have a plan for **organizational development** that describes how the company will organize the work that needs to be accomplished.
- Typically, work is divided into functional departments, such as production, shipping, marketing, customer support, and finance.

Key Elements of Business Model

Management Team

- The **management team** responsible for making the model work.
- A strong management team gives a model instant credibility to outside investors, immediate market-specific knowledge, and experience in implementing business plans.
- A strong management team may not be able to salvage a weak business model, but the team should be able to change the model and redefine the business as it becomes necessary.

4. The Execution: โครงสร้างองค์กรและทีมบริหาร



7. Organizational Development

แผนการแบ่งงานและการจัดโครงสร้าง (เช่น ฝ่ายผลิต, จัดส่ง, การตลาด, ลูกค้าสัมพันธ์) เพื่อรองรับการเติบโตอย่างเป็นระบบ

8. Management Team

กุญแจสำคัญที่ทำให้โมเดลเกิดขึ้นจริง

→ ทีมบริหารที่แข็งแกร่งจะสร้างความน่าเชื่อถือให้นักลงทุน และมีความยืดหยุ่น (Agility) มากพอที่จะปรับรื้อโมเดลธุรกิจหากสถานการณ์ตลาดเปลี่ยนแปลง

Key Elements of Business Model

TABLE 2.3 KEY ELEMENTS OF A BUSINESS MODEL

COMPONENTS	KEY QUESTIONS
Value proposition	Why should the customer buy from you?
Revenue model	How will you earn money?
Market opportunity	What marketspace do you intend to serve, and what is its size?
Competitive environment	Who else occupies your intended marketspace?
Competitive advantage	What special advantages does your firm bring to the marketspace?
Market strategy	How do you plan to promote your products or services to attract your target audience?
Organizational development	What types of organizational structures within the firm are necessary to carry out the business plan?
Management team	What kinds of experiences and background are important for the company's leaders to have?

Major B2C VS B2B Business Models

B2C Business Models

Business-to-consumer (B2C) e-commerce, in which online businesses seek to reach individual consumers, is the most well-known and familiar type of e-commerce.

E-TAILER

- Online retail stores, often called e-tailers, come in all sizes, from giant Amazon to tiny local stores.
- E-tailers are similar to the typical bricks-and-mortar storefront, except that customers only have to connect to the Internet or use their smartphone to place an order.
- Some e-tailers, which are referred to as “bricks-and-clicks,” are subsidiaries or divisions of existing physical stores and carry the same products.

B2C Business Models

Business-to-consumer (B2C) e-commerce, in which online businesses seek to reach individual consumers, is the most well-known and familiar type of e-commerce.

COMMUNITY PROVIDER

- **Community providers** create an online environment where people with similar interests can transact (buy and sell goods); share interests, photos, videos; communicate with like-minded people; receive interest-related information; and even play out fantasies by adopting online personalities called avatars.
- Facebook, LinkedIn, Twitter, and Pinterest, and hundreds of other smaller, niche social networks all offer users community-building tools and services.

B2C Business Models

Business-to-consumer (B2C) e-commerce, in which online businesses seek to reach individual consumers, is the most well-known and familiar type of e-commerce.

CONTENT PROVIDER

- **Content providers** distribute information content, such as digital video, music, photos, text, and artwork.
- Content providers can make money via a variety of different revenue models, including advertising, subscription fees, and sales of digital goods.

B2C Business Models

Business-to-consumer (B2C) e-commerce, in which online businesses seek to reach individual consumers, is the most well-known and familiar type of e-commerce.

PORTAL

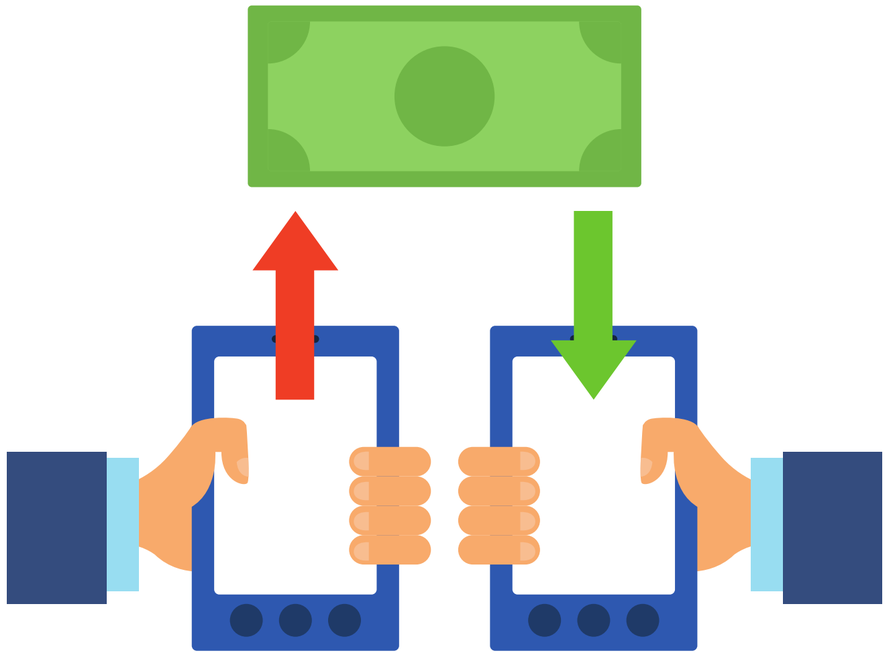
- **Portals** such as Yahoo, MSN, and AOL offer users powerful search tools as well as an integrated package of content and services, such as news, e-mail, instant messaging, calendars, shopping, music downloads, video streaming, and more, all in one place.
- Initially, portals sought to be viewed as “gateways” to the Internet.
- Today, however, the portal business model is to be a destination. They are marketed as places where consum- ers will hopefully stay a long time to read news, find entertainment, and meet other people (think of destination resorts).

B2C Business Models

Business-to-consumer (B2C) e-commerce, in which online businesses seek to reach individual consumers, is the most well-known and familiar type of e-commerce.

TRANSACTION BROKER

- Companies that process transactions for consumers normally handled in person, by phone, or by mail are **transaction brokers**. The largest industries using this model are financial services, travel services, and job placement services.
- Transaction brokers make money each time a transaction occurs. Each stock trade, for example, nets the company a fee, based on either a flat rate or a sliding scale related to the size of the transaction.

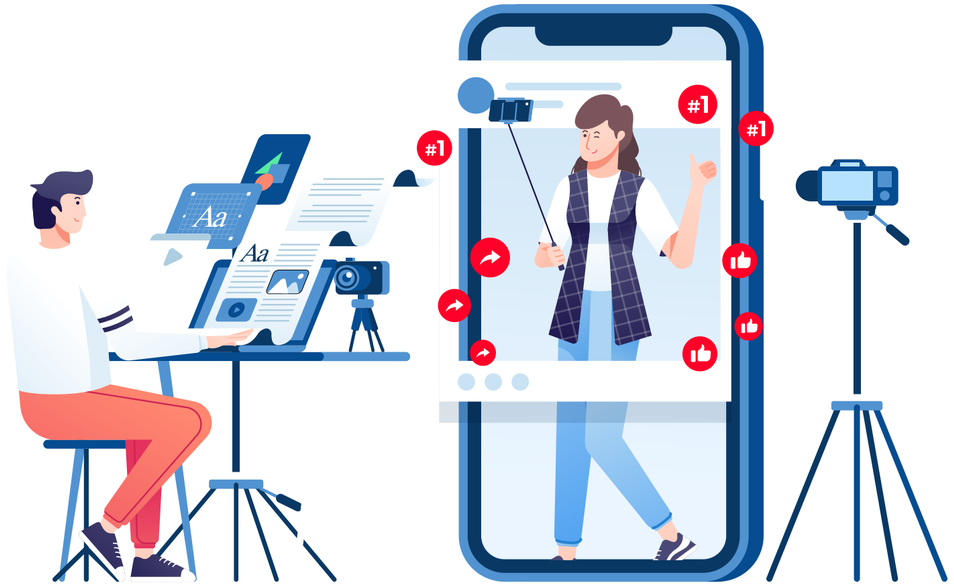


B2C Business Models

Business-to-consumer (B2C) e-commerce, in which online businesses seek to reach individual consumers, is the most well-known and familiar type of e-commerce.

MARKET CREATOR

- **Market creators** build a digital environment in which buyers and sellers can meet, display and search for products and services, and establish prices.
- For example, **eBay's auction business model** is to create a digital environment for buyers and sellers to meet, agree on a price, and transact.
- Uber, Airbnb, and Lyft are another example of the market creator business model . On-demand service companies are market creators that have developed online platforms that allow people to sell services, such as transportation or spare rooms, in a marketplace that operates in the cloud and relies on the Web or smartphone apps to conduct transactions.



B2C Business Models

Business-to-consumer (B2C) e-commerce, in which online businesses seek to reach individual consumers, is the most well-known and familiar type of e-commerce.

SERVICE PROVIDER

- While e-tailers sell products online, **service providers** offer services online. There's been an explosion in online services that is often unrecognized. Photo sharing, video sharing, and user-generated content (in blogs and social networks) are all services provided to customers.
- Online service providers may offer computer services, such as data storage (Dropbox and Carbonite), provide legal services (RocketLawyer), or accounting or bookkeeping services (Wave, Bench). Grocery shopping sites such as UK-based Ocado and Waitrose are also providing services.

The B2C Summary Matrix

B2C

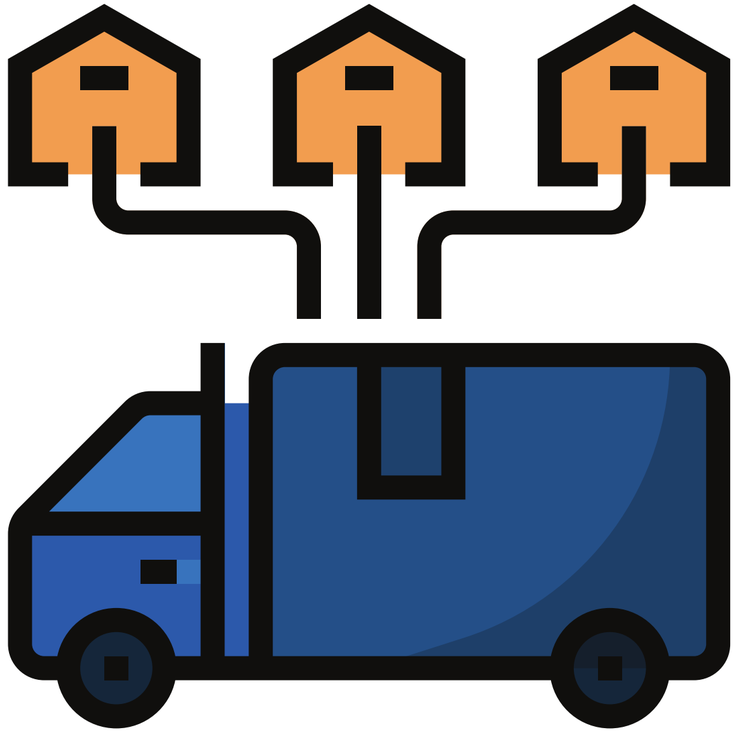
Business Model	Description	Primary Revenue Models	Key Examples
E-tailer	Online retail store	Sales	Amazon, Walmart
Community Provider	Social/interest networks	Ads, Subs, Affiliate	LinkedIn, Facebook
Content Provider	Digital media distribution	Ads, Subs, Sales	Spotify, Netflix
Portal	Integrated content destination	Ads, Subs, Trans	Yahoo, AOL
Transaction Broker	Online transaction processor	Transaction	Expedia, IG
Market Creator	Platform connecting buyers/sellers	Transaction	eBay, Uber
Service Provider	Selling online services	Sales	Dropbox, Wave

B2B Business Models

Business-to-business (B2B) e-commerce, in which businesses sell to other businesses

E-DISTRIBUTOR

- Companies that supply products and services directly to individual businesses are **e-distributors**.
- With e-distributors, the more products and services a company makes available, the more attractive it is to potential customers. One-stop shopping is always preferable to having to visit numerous sites to locate a particular part or product.

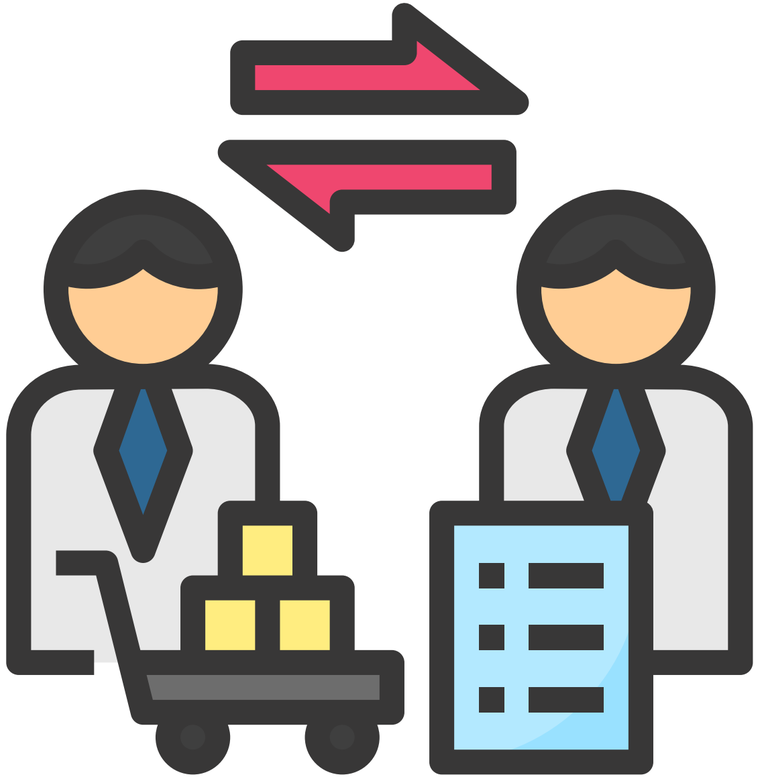


B2B Business Models

Business-to-business (B2B) e-commerce, in which businesses sell to other businesses

E-PROCUREMENT

- E-procurement firms create and sell access to digital markets.
- Firms such as Ariba, for instance, have created soft- ware that helps large firms organize their procurement process by creating mini-digital markets for a single firm. Ariba creates custom-integrated online catalogs (where supplier firms can list their offerings) for purchasing firms. On the sell side, Ariba helps vendors sell to large purchasers by providing software to handle catalog creation, shipping, insurance, and finance.



B2B Business Models

Business-to-business (B2B) e-commerce, in which businesses sell to other businesses

EXCHANGES

- An **exchange** is an independent digital marketplace where hundreds of suppliers meet a smaller number of very large commercial purchasers.
- For buyers, B2B exchanges make it possible to gather information, check out suppliers, collect prices, and keep up to date on the latest happenings all in one place.
- Sellers, on the other hand, benefit from expanded access to buyers. The greater the number of sellers and buyers, the lower the sales cost and the higher the chances of making a sale.

B2B Business Models

Business-to-business (B2B) e-commerce, in which businesses sell to other businesses

INDUSTRY CONSORTIA

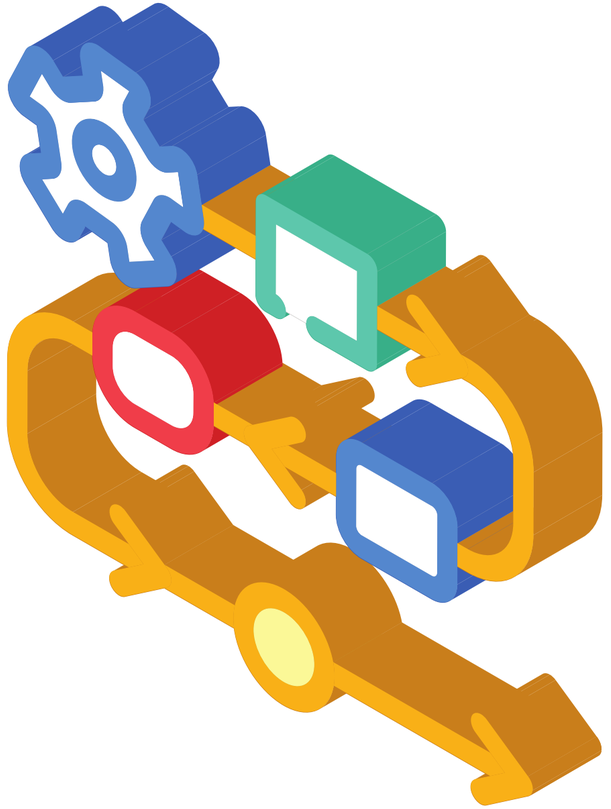
- **Industry consortia** are industry-owned *vertical marketplaces* that serve specific industries, such as the automobile, aerospace, chemical, floral, or logging industries. In contrast, *horizontal marketplaces* sell specific products and services to a wide range of companies.
- Vertical marketplaces supply a smaller number of companies with products and services of specific interest to their industry, while horizontal marketplaces supply companies in different industries with a particular type of product and service, such as marketing-related, financial, or computing services.

B2B Business Models

Business-to-business (B2B) e-commerce, in which businesses sell to other businesses

PRIVATE INDUSTRIAL NETWORKS

- A **private industrial network** (sometimes referred to as a private trading exchange or PTX) is a digital network designed to coordinate the flow of communications among firms engaged in business together.
- The network is owned by a single large purchasing firm. Participation is by invitation only to trusted long-term suppliers of direct inputs.
- For instance, Walmart operates one of the largest private industrial networks in the world for its suppliers, who on a daily basis use Walmart's network to monitor the sales of their goods, the status of shipments, and the actual inventory level of their goods.



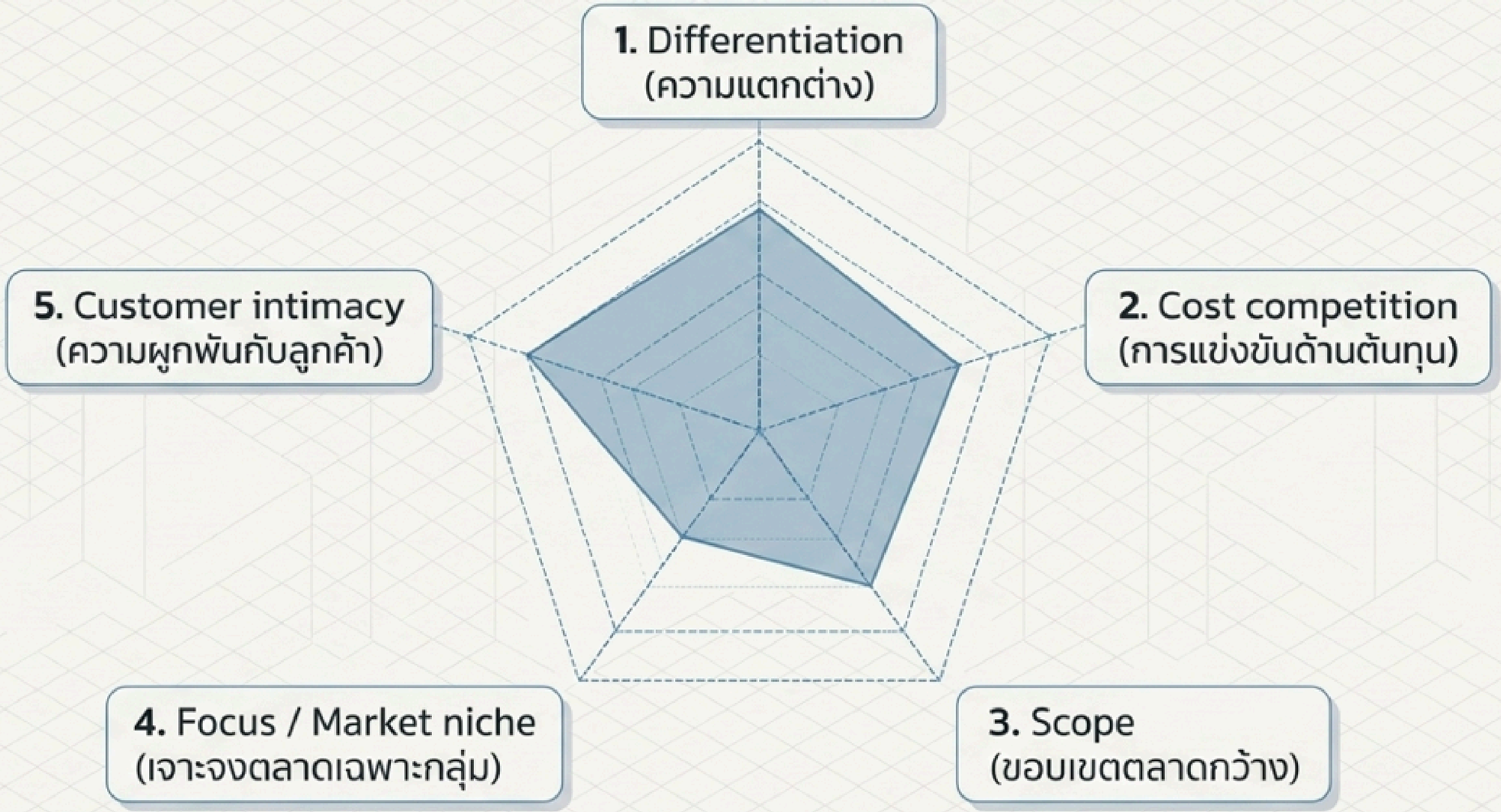
The B2B Summary Matrix

B2B

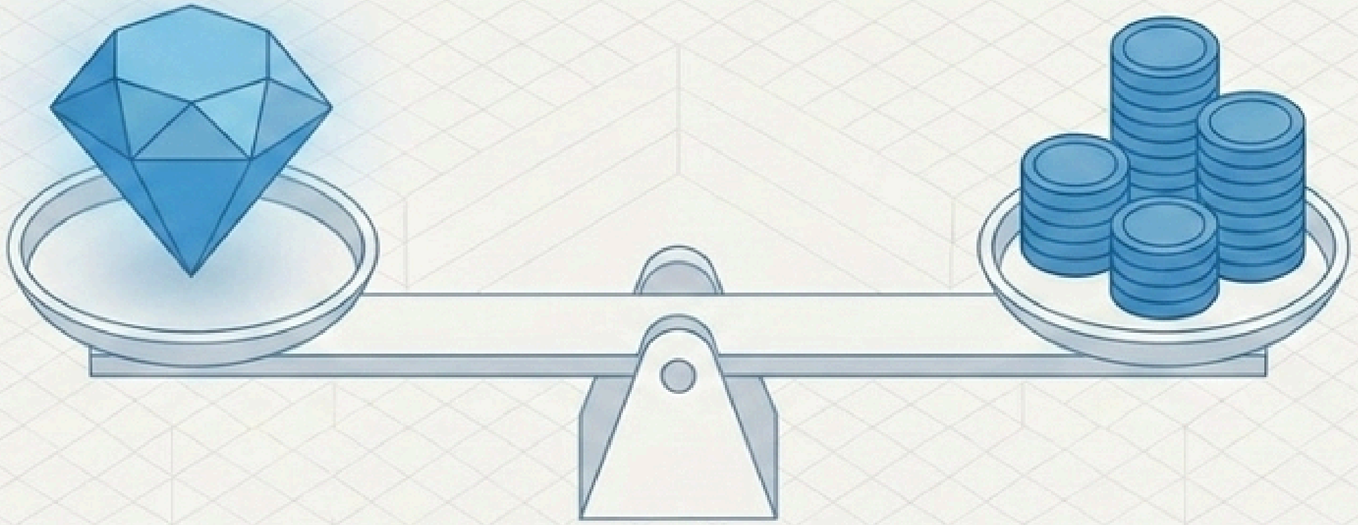
B2B Model	Ownership Structure	Primary Function	Target Audience
E-distributor	Independent	Direct supply of products	Individual businesses (Horizontal)
E-procurement	Independent	Software/Digital mini-markets	Large purchasing firms
Exchanges	Independent	Open marketplace matching	Many suppliers to large purchasers
Industry Consortia	Industry-Owned	Vertical marketplace	Specific industries (e.g., auto, aerospace)
Private Industrial Network (PTX)	Single Firm	Coordinating daily supply flow	Trusted long-term suppliers (Invitation-only)

E-Commerce Business Strategy

5 รูปแบบกลยุทธ์ธุรกิจ (The 5 Business Strategies)



Path 1 & 2: The Classic Divide (ความแตกต่าง vs ต้นทุน)



Differentiation

สร้างผลิตภัณฑ์และบริการที่มีเอกลักษณ์
โดดเด่นจนคู่แข่งไม่สามารถเทียบได้

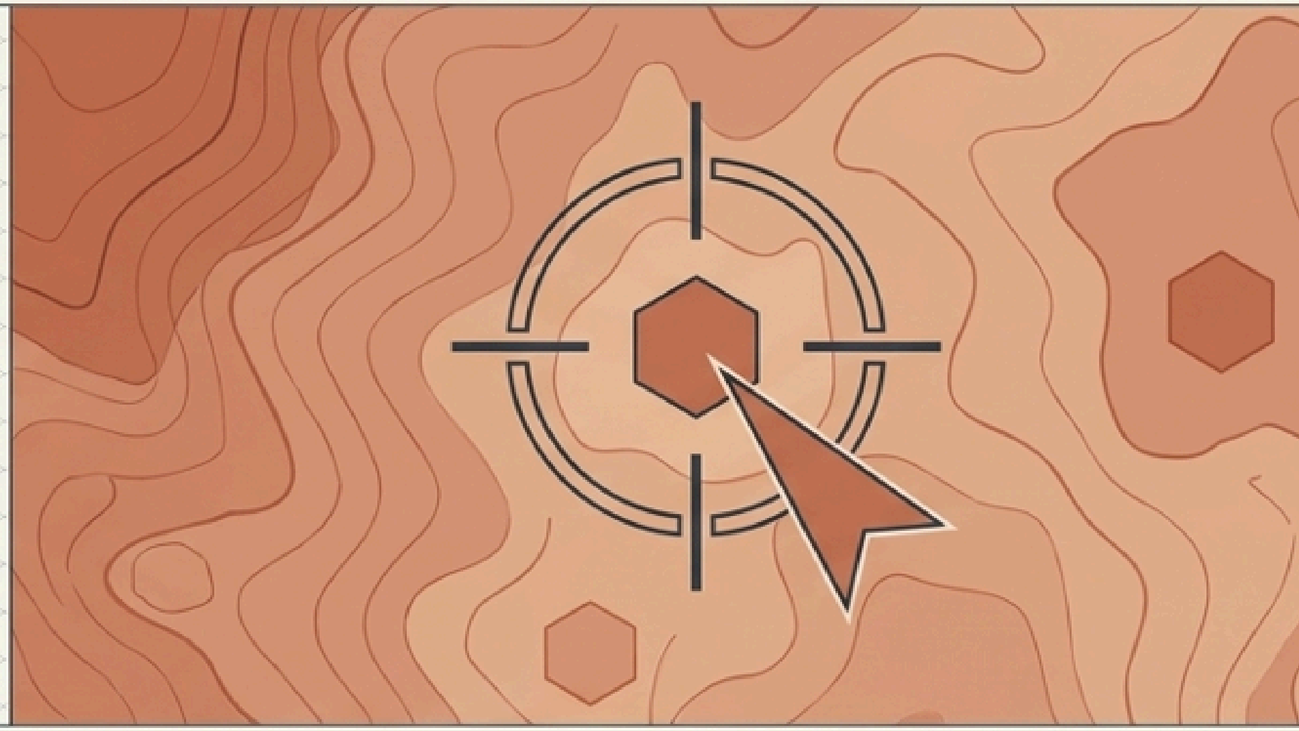
Example: Warby Parker
(แว่นตาสั่งตัดดีไซน์วินเทจที่มีเอกลักษณ์เฉพาะตัว)

Cost Competition

นำเสนอสินค้าและบริการในราคาที่
ต่ำกว่าคู่แข่งทั้งหมดในตลาด

Example: Walmart
(ใช้อำนาจขนาดใหญ่เพื่อกดต้นทุนและขายในราคาถูกที่สุด)

Path 3 & 4: The Market Canvas (ขอบเขต vs เฉพาะกลุ่ม)



Scope

ขยายอาณาเขต แข่งขันในทุกตลาดทั่วโลก (Global markets) ไม่จำกัดแค่ระดับท้องถิ่นหรือภูมิภาค

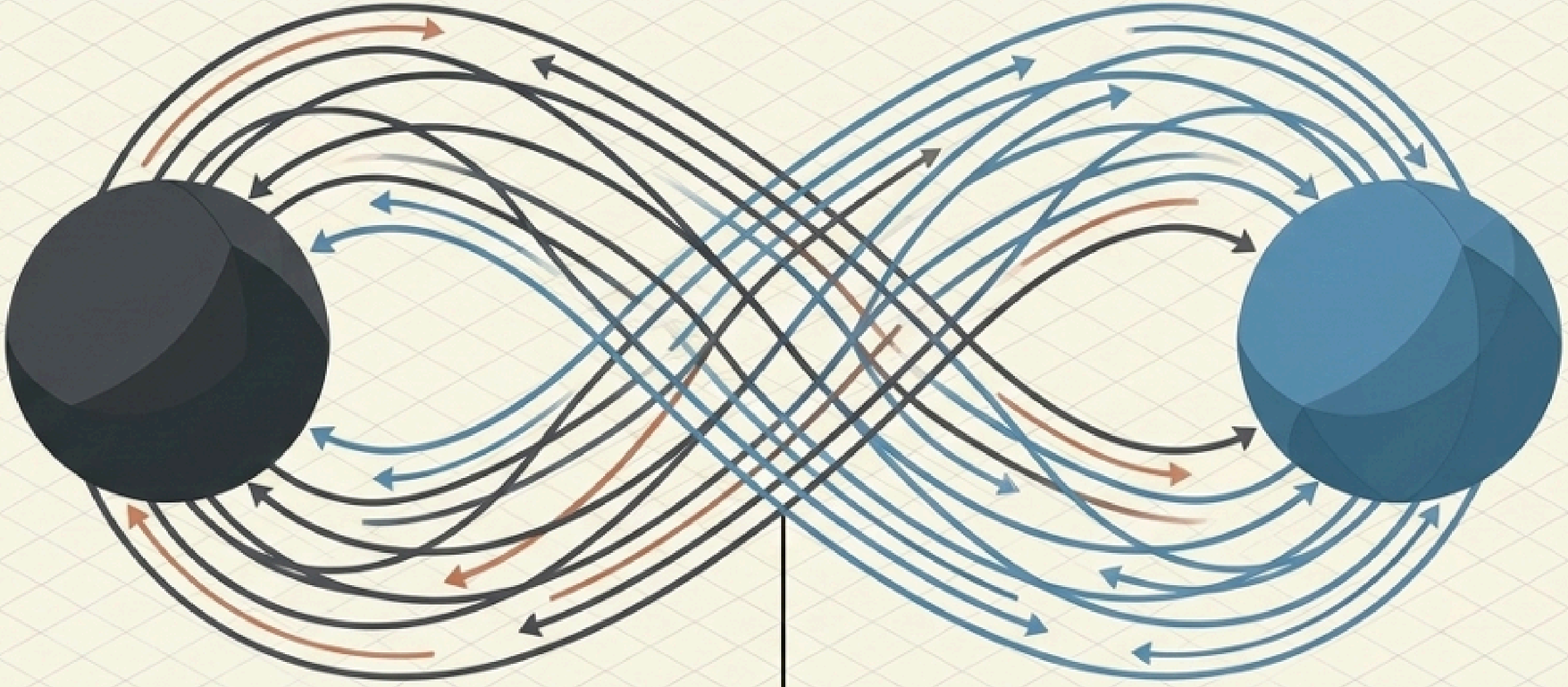
Example: Apple (นำเสนอ iDevices ที่เป็นมาตรฐานเดียวตอบโจทย์ผู้ใช้ทั่วโลก)

Focus / Market Niche

เจาะจงแข่งขันในตลาดแคบๆ หรือกลุ่มผลิตภัณฑ์เฉพาะทาง (Narrow market segment)

Example: Bonobos (แบรนด์เสื้อผ้าที่มุ่งเน้นแก้ปัญหาเฉพาะจุดให้กลุ่มผู้ชาย)

Path 5: The Digital Grail (ความผูกพันกับลูกค้า)



Customer Intimacy
กลยุทธ์: พัฒนาความสัมพันธ์ที่แน่นแฟ้นและเข้าใจลูกค้าระดับบุคคล (Personal level) ผ่านข้อมูลเชิงลึก ไม่ใช่แค่การขายของ แต่คือการ ‘รู้ใจ’ ว่าลูกค้าต้องการอะไรก่อนที่พวกเขาจะเอ่ยปาก
Examples: Amazon (ระบบแนะนำสินค้าที่แม่นยำ) และ *Netflix* (อัลกอริทึมแนะนำคอนเทนต์ที่สะกดผู้ใช้งาน)

E-Commerce Business Strategies

TABLE 2.9 BUSINESS STRATEGIES

STRATEGY	DESCRIPTION	EXAMPLE
Differentiation	Making products and services unique and different in order to distinguish them from those of competitors	Warby Parker (vintage-inspired prescription eyeglasses)
Cost competition	Offering products and services at a lower cost than competitors	Walmart
Scope	Competing in all markets around the globe, rather than merely in local, regional, or national markets	Apple iDevices
Focus/market niche	Competing within a narrow market or product segment	Bonobos (men's clothing)
Customer intimacy	Developing strong ties with customers	Amazon; Netflix

Case Study : Weathering the Storm: Twitter’s Uncertain Future

เรียนรู้ Business Model ของ Twitter และวิวัฒนาทางธุรกิจของ Twitter

Do you have any questions?

มีคำถามหรือข้อสงสัยเกี่ยวกับเนื้อหาที่เรียนในวันนี้

Next Session Topic

หัวข้อสำหรับสัปดาห์หน้า

- E-Commerce Infrastruture